Take-home project:

Analysis of a real-world accounting issue for a real-world company.

This take-home project is 100% of the course grade, marked out of 20. Submit a single PDF via Canvas by 23:59 (Brussels time) on the published examination date for your course. If Canvas fails, email the same PDF to paul.geertsema@vlerick.com before the deadline. The work is individual: you may discuss it with AI's, but not with other people.

Context

You are advising the management team of an acquirer that is looking at a listed company as a potential target. Your job is to get underneath one material accounting issue that is tricky, untested, uncertain or complex, and to explain what it means in real life for someone who might buy the firm.

What to submit

Four pages of analysis, plus a short AI-use note. Put your name and student number on the first page. Use A4, at least 12 pt, and margins of at least 2 cm. Put tables and small exhibits in the four pages. Please **add a URL (web link)** to the financial statements you are analysing (if possible) so I can easily access it if I am curious.

- **One-page executive summary** for management, with three headings only: What is the issue? Why is it relevant? What should we do?
- **Three-page technical memo** that explains the accounting and supports the executive summary with evidence and a few illustrative numbers.
- **AI-use paragraph** after the memo (not counted in the four pages; a paragraph to half a page is more than enough).

Choosing the firm and the issue

Pick a real listed company and one technical accounting area that is material for that firm. IFRS will feel more familiar; US GAAP (or another recognised GAAP) is allowed if you identify the framework and handle it correctly.

Do not use a teaching-case firm from this course: Thomas Cook, NVIDIA, BMW Group (including BMW Bank and Bavarian Sky) or Solvay.

The issue need not be one we covered in class. The assessed skill is whether you can use AI, together with your own understanding, to make sense of a complex accounting issue and communicate it clearly to stakeholders.

A good accounting issue is one where a competent but non-technical reader of the annual report can still be unsure what the numbers really mean, and where that uncertainty would matter to a buyer (earnings quality, cash generation, net debt, capital, future profitability, contingent exposures and so on). What you are looking at should matter, that is, be material to the buyer.

The executive summary

This should be directed at busy executives who want to understand the issue, and address it sensibly.

- **What is the issue?** Describe the firm and the accounting issue or area in plain language.
- **Why is it relevant?** What it does to the economics of a purchase: how we might misread earnings, cash, leverage or risk if we take the statements at face value.
- **What should we do?** What the acquirer's team should do next. How does this analysis influence their decision to proceed with the transaction, and why?

The technical memo

Use the three pages to support your opinions on the first page. Explain the accounting issue: the relevant standard(s), what is being measured, where judgement or estimation enters, and what the company actually discloses. Then explain what that means operationally and financially.

A few illustrative calculations can be useful here: for instance, an order-of-magnitude effect on earnings or net debt or a reconciliation between two items. These calculations, if you use them, should help you communicate your insights. Cite the source of every important figure (report year, note, page) in a footnote. If you use a non-English filing, quote or paraphrase in English and give the reference.

AI usage (required)

You are strongly advised (I would almost suggest required) to use AI models to assist you. Try to use a few tools or models you don't normally use to see what works. The final writing must be in your own voice (these

days anything that sounds like AI will simply be ignored) and must reflect your own understanding. Don't put anything in the report you don't understand yourself.

The AI-use paragraph is part of the work. Tell me, specifically, how you used the model(s), where it helped, where it was wrong or shallow, and how you verified it. I am interested in whether you can get real results out of these tools.

Academic integrity

This is individual work. Do not discuss your firm, your issue, or your draft with other students. Copying from another submission, or submitting text you cannot defend as your own understanding, is a breach of academic integrity.

Grading criteria [20 marks total]

1. Identify a firm and an accounting issue or disclosure that is both tricky and material. It should matter and it should not be obvious or trivial. [**4** marks]
2. Technical account. A correct interpretation and analysis of the issue, communicated in straight-forward language that can be followed by some-one who knows the basics of accounting, but is not necessarily an expert (e.g. senior management). [**5** marks]
3. What it means. Why does this matter, what did you find out, what should management now do differently? [**5** marks]
4. Supporting evidence. Selected use of numbers that can be sourced back to disclosures, the quality of supporting tables or graphs. Is the evidence credible, is it relevant, does it support the point you make? [**3** marks]
5. Your voice, not Claude. If it reads like AI, no-one will read it. Absolutely use AI to understand what is going on. Once you do understand it yourself, explain it in your *own* language. [**3** marks]

Enjoy!